

you're sued for something unrelated to your car or home, such as slander. The price of a \$1 million umbrella liability policy in 2008 was about \$150 to \$300. Umbrella policies are usually a better deal than more auto liability and home liability coverage.

↓ LIFE INSURANCE

If you've never received a friendly letter from a life insurance agent, just wait. In the next few years, you'll probably get at least half a dozen trying to sell you life insurance. Throw them out. There's a good chance you don't need life insurance.

The purpose of life insurance is simple: If you die, it protects the people who rely on your income. So if you have kids (or anyone else financially dependent on you), you need it. If you're married without kids, and your spouse could handle the basic housing and living expenses without you, you don't need it. If you're single and you aren't financially responsible for anyone but yourself, you don't need it. (Of course, there are always exceptions, but these are good guidelines.)

Two Types of Life Insurance

The most basic form of life insurance is **term life insurance**. It's called that because it protects you for a specific period of time (a term), typically up to thirty years. When the term runs out, you can usually renew the policy and begin another term. If you die, the insurance company will pay out a specified amount of money to your beneficiaries. This payment is called the **death benefit**.

When you're young, the premium you pay for term insurance is very low. For a death benefit of \$100,000, a 25-year-old nonsmoker would pay about \$150 a year. Your premium may stay the same for many years or increase slightly from year to year, depending on which type of term policy you get.

Term life insurance gives you the most coverage for your money when you're young. But don't be surprised if insurance agents discourage you